ISSUER REVIEW · 6M2026

# Rīgas ūdens

Latvia · Water supply and wastewater utility (Riga)

OK

Position OK. A water utility owned by the City of Riga and rated A3 by Moody's[2]. 1H EBITDA EUR 19.7m (+25%), net debt / EBITDA 2.6x, equity ratio 71%, loan covenants met[3].

**EBITDA · 6M2026**
19.7 EUR m
▲ 25.5 % vs 6M2025

**NET DEBT · 6M2026**
89.9 EUR m
▲ 42.2 % vs 6M2025

**NET DEBT / EBITDA · 6M2026**
2.6 x
▲ 0.5x vs 6M2025

**EQUITY RATIO · 6M2026**
71.0 %
▼ 1.4 p. p. vs 6M2025

## Quick summary

- **Results improving:** 1H revenue EUR 45.4m (+15%), EBITDA EUR 19.7m (15.7m), net profit EUR 4.3m (0.5m); tariffs raised from 2025-12-01[4].
- **Investment and debt rising:** EUR 24.1m invested in the half year, net debt EUR 89.9m, net debt / EBITDA 2.6x (2.1x); the 2025-2028 investment programme is EUR 235m[5].
- **Covenants met:** DSCR 3.9 (target 2.0), interest coverage 14.2[3].
- **More funding:** a new prospectus approved for up to EUR 40m in the next bond tranche (planned for Q4), a EUR 50m NIB facility signed; the regulator raised the allowed return on capital to 6.28% from 2027[6,7].

### Key facts

ISSUER RATING
Moody's A3, stable outlook (affirmed 2026)[1]

ANALYSIS DATE
2026-10-22

NEXT REPORT
9M 2026 interim report - 2026-11-27

COUNTRY
Latvia

### Securities held

**Rīgas ūdens 4% green bond 2030**
LV0000104487 · 4.0% · 2030-06-04
Green bond · no separate rating found

## 01 Instruments held and ISINs

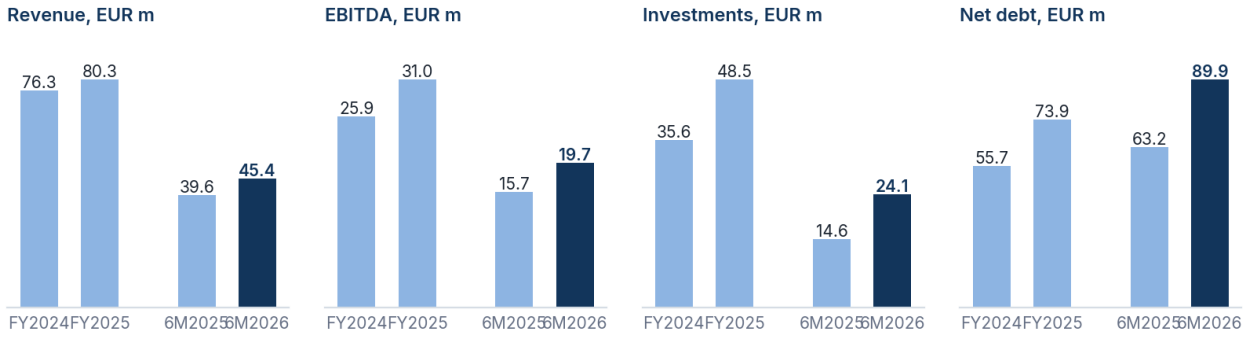
| ISIN | INSTRUMENT | COUPON | MATURITY | ISSUE RATING | NOTE |
|---|---|---|---|---|---|
| LV0000104487 | Rīgas ūdens 4% green bond 2030 Green bond | 4.0% | 2030-06-04 | no separate rating found | EU Green Bond (EuGB) standard, first tranche of a EUR 60m programme; quarterly coupons; listed 2025-06-05 |

## 02 Key ratios

| METRIC | FY2024 | FY2025 | 6M2025 | 6M2026 | CHANGE |
|---|---|---|---|---|---|
| Revenue, EUR m[8,9] | 76.3* | 80.3* | 39.6* | 45.4* | ▲ 14.6 % vs 6M2025 |
| EBITDA, EUR m[8,9] | 25.9* | 31.0* | 15.7* | 19.7* | ▲ 25.5 % vs 6M2025 |
| Net profit, EUR m[8,9] | -18.3* | 0.59* | 0.5* | 4.3* | ▲ 3.8 EURm vs 6M2025 |
| Investments, EUR m[8,9] | 35.6* | 48.5* | 14.6* | 24.1* | ▲ 65.1 % vs 6M2025 |
| Net debt, EUR m[8,9] | 55.7* | 73.9* | 63.2* | 89.9* | ▲ 42.2 % vs 6M2025 |
| Net debt / EBITDA[8,9] | 2.2x* | 2.4x* | 2.1x* | **2.6x*** | ▲ 0.5x vs 6M2025 |
| Equity ratio[8,9] | 74.5%* | 70.7%* | 72.4%* | **71.0%*** | ▼ 1.4 p. p. vs 6M2025 |
| Debt service coverage (DSCR)[8,10] | – | 3.7x* | – | **3.9x*** | ▲ 0.2x vs FY2025 |

Colours: green change – the metric is improving, red – worsening. Latest-period cell background: green – good level, amber – average, red – weak (internal benchmarks, config/metric_rules.yaml).

* – taken from the report summary; ᶜ – own calculation. Small numbers next to text link to the source (opens the document at the cited page).




## 03 Business performance review

- The service contract with Riga City runs to 2029-07-23; tariffs are set by the Public Utilities Commission (water EUR 1.41/m³, sewerage EUR 1.26/m³, treatment EUR 0.40/m³ excl. VAT)[11].
- On 2026-03-25 the Riga City Council decided to keep its direct shareholding[12].

## 04 Financials

- FY2025 revenue EUR 80.3m, EBITDA EUR 31.0m, profit EUR 0.6m; the 2024 loss of EUR 18.3m was due to asset revaluation[8].

- Equity EUR 536.3m, total assets EUR 755.3m[9].

## 05 Past plans vs outcomes

| PLAN / TARGET | OUTCOME | WHAT CHANGED AND WHY | STATUS |
|---|---|---|---|
| Investment programme 2025-2028: EUR 235m | 30.88% used by mid-2026[13] | On track[13]. | **In progress** |
| Green bond programme of up to EUR 60m | EUR 20m issued (2025); next tranche of up to EUR 40m planned for Q4 2026[14,1] | In progress: the 2025 issue was 228% oversubscribed[14]. | **In progress** |
| DSCR of at least 2.0 (2026 target) | 6M 2026: 3.9[10] | Met[10]. | **Met** |

## 06 Investor information & conclusions

- **Instrument held:** a 4% green bond (EU Green Bond Standard), EUR 20m, quarterly coupons, maturing 2030-06-04[15]. All proceeds allocated to EU taxonomy-aligned projects (Sustainable Fitch review)[1].
- **Credit quality:** Moody's A3, municipal ownership, regulated tariffs and a high equity ratio[16].
- **Conclusion:** low risk; debt is rising with investment, but metrics are well above covenant limits.

## 07 Market and environment

- **Tariffs:** revenue +14.7%, mainly due to new water tariffs from 2025-12-01[9]. Treated wastewater -8.9% on lower rainfall, water sold +0.9%[17].
- **Investment and debt:** a record EUR 24.1m of investment was debt-financed, lifting net debt/EBITDA to 2.6x[18]. Costs may be affected by inflation and energy prices; the Bank of Latvia forecasts 3.6% inflation in 2026[19].
- **Next issue:** up to EUR 40m of green bonds planned for Q4 2026, subject to market conditions[1].

| | NOW | 3 MONTHS AGO | 12 MONTHS AGO | 12-MONTH CHANGE |
|---|---|---|---|---|
| ECB deposit facility rate | 2.50% (2026-09) | 2.25% | – | – |
| 3-month Euribor | 2.63% (2026-10) | 2.43% | 2.03% | ▲ 0.60 p. p. |
| 6-month Euribor | 2.97% (2026-10) | 2.65% | 2.11% | ▲ 0.87 p. p. |
| 12-month Euribor | 3.24% (2026-10) | 2.86% | 2.19% | ▲ 1.05 p. p. |
| Euro area AAA government 10-year yield | 3.27% (2026-11) | 3.34% | 2.77% | ▲ 0.50 p. p. |
| Euro area inflation (HICP, annual) | 1.90% (2025-12) | 2.20% | 2.40% | ▼ 0.50 p. p. |

Euro area rates and inflation (ECB data, end-of-month value; Euribor and inflation – monthly average). Relevant for floating-rate and reset bonds and refinancing costs.

## 08 In the press

Automatic news scan (Google News, LV), 2026-08-12 – 2026-11-10: 6 articles.

2026-11-06 **BONDS** Rīgas ūdens ar otro Eiropas zaļo obligāciju emisiju piesaista 40 miljonus eiro un noslēdz 60 miljonu eiro obligāciju programmu Rīgas valstspilsētas pašvaldība · 1 more similar articles

| | | |
|---|---|---|
| 2026-11-03 | OTHER | SIA "Rīgas ūdens" un Rīgas Valsts tehnikums paraksta sadarbības memorandu profesionālās izglītības jomā (22) LETA |
| 2026-10-16 | OTHER | Svarīgs paziņojums no "Rīgas ūdens" NRA |
| 2026-09-28 | OTHER | "Rīgas ūdens" veiks vērienīgus skalošanas darbus: kurās apkaimēs jārēķinās ar ūdens duļķainību un pārtraukumiem 1188.lv |
| 2026-09-27 | OTHER | "Rīgas ūdens" līdz oktobra sākumam plāno atjaunot ap 120 ūdensvada un kanalizācijas lūku 1188.lv |

## 09 ESG report

### EXCLUSIONARY SCREENING (COMPANIES)

- ✓ **Yes, the company is not involved in excluded sectors: controversial and nuclear weapons, tobacco, gambling and restricted sectors in fossil fuel**
  - Water supply and wastewater treatment: no activity in excluded sectors[12].

- ✓ **Yes, the company does not have red flag/signal related to controversies based on UN Global Compact, OECD Guidelines for Multinational Enterprises or any other relevant principles/standards**
  - No UN Global Compact or OECD related controversies or environmental fines found.
  - Treatment plant overload 0.34% (limit 2%)[20].

- ✓ **Yes, the company is not in the list of sanctions (add a screenshot)**
  - Not found on the EU, UN, US OFAC consolidated sanctions lists (automatic check 2026-11-10).

  **Manual check**
  - OFAC sanctions search[21]
  - EU Sanctions Map[22]
  - SEB eNameChecker (internal SEB system).

- ✓ **Yes, issues were not identified from adverse media checks (add a screenshot)**
  - No adverse news found (2026-10-22).
  - Following odour complaints in the Vārnukrogs area, a sludge store was covered in December 2025[7].
  - News summary 2026-08-12 – 2026-11-10: 6 articles, 0 with an adverse keyword in the headline (details in the section "In the press").

*In case any red flags, risks, unclarities were identified then additional checks (sanctions screening and adverse media checks) on the company's Ultimate Beneficial Owners and/or senior management shall be performed.*

**Additional comments:**

### ESG INTEGRATION AND POSITIVE SCREENING (POSITIVE ANSWERS IMPLY HIGHER ALLOCATION)

- ✓ **Yes, the company is promoting environmental or social characteristics (activities, ESG policy, good ESG rating, etc)**
  - Green bond under the EU standard, proceeds for wastewater treatment (94%) and solar PV (5%)[14]
  - PFAS treatment pilot[23].

- ✓ **Yes, the activities of the company or it's strategy is aligned with the taxonomy and/or Paris agreement targets (e.g. net zero commitment)**
  - 100% of bond proceeds allocated to EU taxonomy-aligned projects[1].

- ✓ **Yes, the company does not have yellow flag/signal related to controversies based on UN Global Compact or any other relevant principles/standards**
  - No yellow flags found.
  - The company itself names impact areas: GHG leakage, treatment during heavy rain, micropollutants, water losses[24].

✓ **Yes, the company fulfills the expectations from SEB thematic and sector policies**

**Applicable**

- The Investments policy[25] and the Environmental policy on climate, nature and water[26].

**Met**

- EU Green Bond Standard with external review[1]
- Wastewater treatment within limits[20]
- Material impacts disclosed[24].

**Additional comments:**

## ENGAGEMENT

– **Is there a need for pro-active engagement with the company?**

- No need: a regulated municipal company with a green investment programme.

**Additional comments:**

## INDICATORS

✓ **Yes, the indicators of the company support the targets of sustainability and PAI indicators followed by the Fund**

- Treatment plant overload 0.34%[20]
- 100% of bond proceeds to taxonomy-aligned projects[1]
- Renovate 90 km of water mains and 55 km of sewers by 2030[27].

**Additional comments:**

**Conclusion:** No exclusions or red flags. EU-standard green bond financing wastewater treatment investment.

SEB policies applied: Policy on Sustainability Considerations in Investments (SEB AB); Environmental Policy on Climate, Nature and Water (thematic); Social and Human Rights Policy (thematic); Governance expectations in sector policies (anti-corruption, tax, reporting)

## 10 Sources


1. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 5, 2026
2. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 5, 10, 2026
3. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 17-18, 34, 2026
4. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 18-19, 22, 2026
5. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 12, 18, 2026
6. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 5, 43, 2026
7. Rīgas ūdens - Annual report 2025 (audited), p. 28, 2026
8. Rīgas ūdens - Annual report 2025 (audited), p. 17, 2026
9. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 18, 2026
10. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 17, 2026
11. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 10, 22, 2026
12. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 10, 2026
13. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 12, 2026
14. Rīgas ūdens - Annual report 2025 (audited), p. 20, 2026
15. Rīgas ūdens - Annual report 2025 (audited), p. 20-21, 2026
16. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 5, 17, 2026
17. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 15, 8, 2026
18. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 18, 8, 2026
19. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 6, 2026
20. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 15, 2026
21. OFAC Sanctions List Search (US Treasury)
22. EU Sanctions Map
23. Rīgas ūdens - Annual report 2025 (audited), p. 5, 2026
24. Rīgas ūdens - Annual report 2025 (audited), p. 48, 2026
25. SEB Policy on Sustainability Considerations in Investments (2026-04-15), 2026-04-15
26. SEB Environmental Policy on Climate, Nature and Water (2026), 2026
27. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 32, 2026


Report prepared from public sources. Figures are as published by the issuer; small numbers next to the text point to the source list.